How Risk Cascades Through Markets (March 2026)

From Speculative Assets to the Real Economy

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Reference Levels (March 15th, 2026):
S&P 500 ≈ 6,632
Gold ≈ $5,018
Bitcoin ≈ $71,214

Cycle Assessment: Late-cycle restrictive digestion with emerging supply-driven pressures

Regime Characteristics: Restrictive real rates, late-cycle labor diffusion, defensive rotation, stronger dollar, oil-driven cost pressures, midterm volatility

Recommended posture: Capital preservation with selective deployment

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Key Takeaways

• The macro environment appears consistent with a late-stage business cycle, with liquidity conditions tightening and financial fragility increasing.

• Speculative excess began leaving the system several years ago within crypto markets, as retail participation declined and altcoins weakened relative to Bitcoin.

• More recently, risk appears to be propagating into traditional markets, as equities have continued to significantly weaken relative to gold.

• Additional macro pressures, including dollar strength and rising oil prices, may further tighten financial conditions.

• Despite these developments, the labor market has not yet entered the nonlinear deterioration that typically marks the beginning of the recessionary feedback loop.

Scope and Limitations

This report presents a framework for understanding how risk may propagate through financial markets during late-stage business cycles. The analysis focuses primarily on the interaction between liquidity conditions, speculative participation, asset market performance, and labor market dynamics.

Several limitations should be noted.

First, the framework is designed to describe **risk transmission across markets**, not to predict the precise timing of economic turning points. Financial markets can remain in transitional phases for extended periods before broader economic deterioration emerges.

Second, some of the forces discussed in this report, including geopolitical developments and commodity supply shocks, involve significant uncertainty. For example, recent movements in oil prices may reflect temporary disruptions or more persistent supply constraints. The ultimate macroeconomic impact will depend on the duration and magnitude of these developments.

Third, the models referenced throughout this report rely on historical relationships between macroeconomic variables and market behavior. While these relationships have proven informative across previous cycles, structural changes in financial markets or policy responses could alter the way risk propagates in the current environment.

Finally, this report focuses primarily on U.S. macroeconomic indicators and major global financial markets. Conditions in specific sectors, regions, or asset classes may evolve differently than the broader patterns described here.

For these reasons, the framework presented in this report should be interpreted as a **contextual guide for understanding late-cycle dynamics**, rather than a deterministic forecast of future economic outcomes.

This report is for informational purposes only and does not constitute investment advice.

The ITC Risk Cascade Framework

Periods of tightening liquidity rarely cause simultaneous deterioration across all markets. Instead, speculative excess typically leaves the system in stages, beginning with the most risk-sensitive assets before eventually reaching the real economy.

The current cycle appears to be following a similar progression.

Stage 1: Speculative Participation Declines
Retail engagement fades and speculative interest begins to fall.

Stage 2: Highly Speculative Assets Weaken
Altcoins and other speculative assets begin to underperform as liquidity tightens.

Stage 3: Traditional Risk Assets Deteriorate
Equities begin to weaken relative to defensive assets such as gold.

Stage 4: Financial Conditions Tighten Further
Dollar strength, rising energy prices, and other market-driven forces tighten liquidity conditions even if central banks begin shifting toward easing.

Stage 5: Labor Market Feedback Loop Emerges
If financial weakness persists long enough, layoffs increase and unemployment begins to rise more rapidly.

At present, the first several stages appear to be developing, while the final stage has not yet clearly emerged. The current environment appears to be transitioning between Stage 3 and Stage 4. Equities have weakened relative to defensive assets, while dollar strength and higher oil prices are beginning to add pressure, though it remains too early to determine whether those moves will prove durable.

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1. The Late Business Cycle Environment

A useful starting point for evaluating macro risk is determining where the economy sits within the broader business cycle.

Figure 1: ITC Liquidity Risk Model

Late-cycle environments are typically characterized by tighter financial conditions, reduced liquidity, and increasingly fragile macro conditions. These environments often emerge after extended economic expansions when monetary policy has shifted toward restraint in response to inflationary pressures.

The ITC Liquidity Risk Model provides one framework for evaluating the degree of macro liquidity stress present within the system. The model tracks macro liquidity conditions using a composite score derived from policy rates, yields, dollar strength, central bank liquidity, and funding stress proxies. The score is normalized between 0 and 1, where lower values indicate looser liquidity regimes and higher values indicate tighter liquidity environments that tend to be less supportive for risk assets.

Another perspective comes from examining how financial markets interact with the broader macroeconomic environment.

The ITC Business Cycles Model combines several macro variables into a composite indicator designed to capture the interaction between equity valuations, labor market conditions, inflation dynamics, and interest rate pressure.

The model is defined as:

$(SPX / UNRATE^2) \times USINTR \times USIRYY$, normalized by M2, where SPX represents the S&P 500 price series, UNRATE represents the unemployment rate, USINTR represents a short policy rate proxy, USIRYY represents year-over-year CPI inflation, and M2 represents the U.S. money supply.

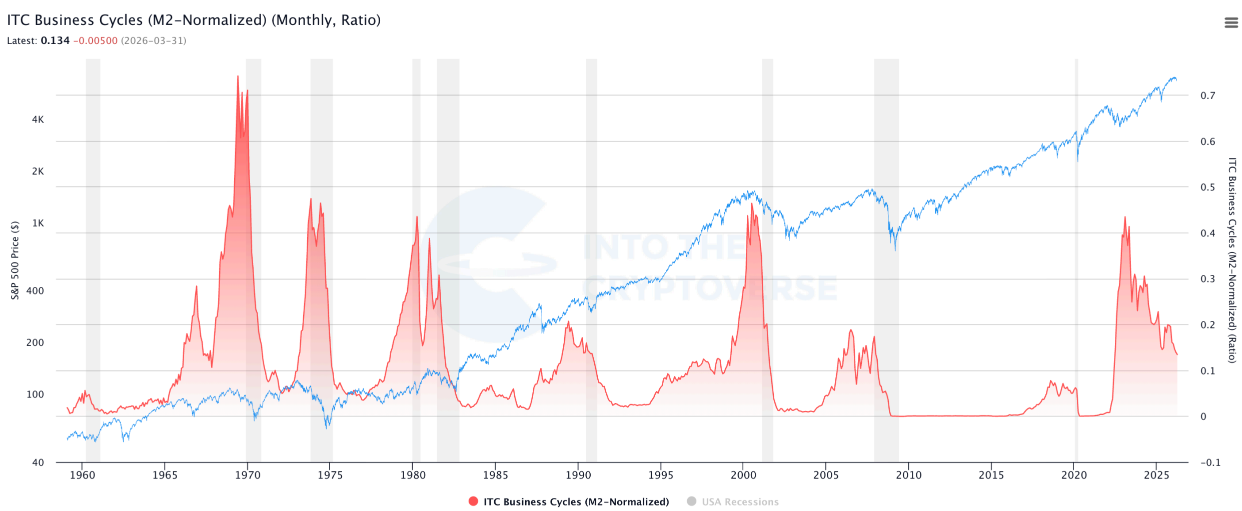

Figure 2: ITC Business Cycles Model

The ITC Business Cycles chart combines equity level, labor-market slack, policy rate pressure, and inflation dynamics into one composite metric. Higher values generally reflect strong equity levels, lower unemployment, and elevated rate pressure. Sustained declines in the metric have historically aligned with recessionary phases or economic slowdowns. Together, these frameworks suggest that the current environment shares many characteristics with previous late-cycle periods.

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2. Speculative Excess Leaves First

Periods of tightening liquidity rarely impact all markets simultaneously. Instead, the earliest signs of risk reduction tend to appear in the most speculative segments of financial markets. In digital asset markets, speculative participation can be approximated through measures of social engagement and retail activity.

The ITC Social Risk Metric measures speculative participation within the digital asset ecosystem using a composite of social engagement indicators. Historically, peaks in the metric have aligned with periods of heightened speculative excess. The sustained decline in the metric since the last cycle peak suggests that retail participation has gradually faded from the market over time.

As speculative participation fades, capital often consolidates into the most dominant asset within the ecosystem rather than rotating broadly across more speculative assets.

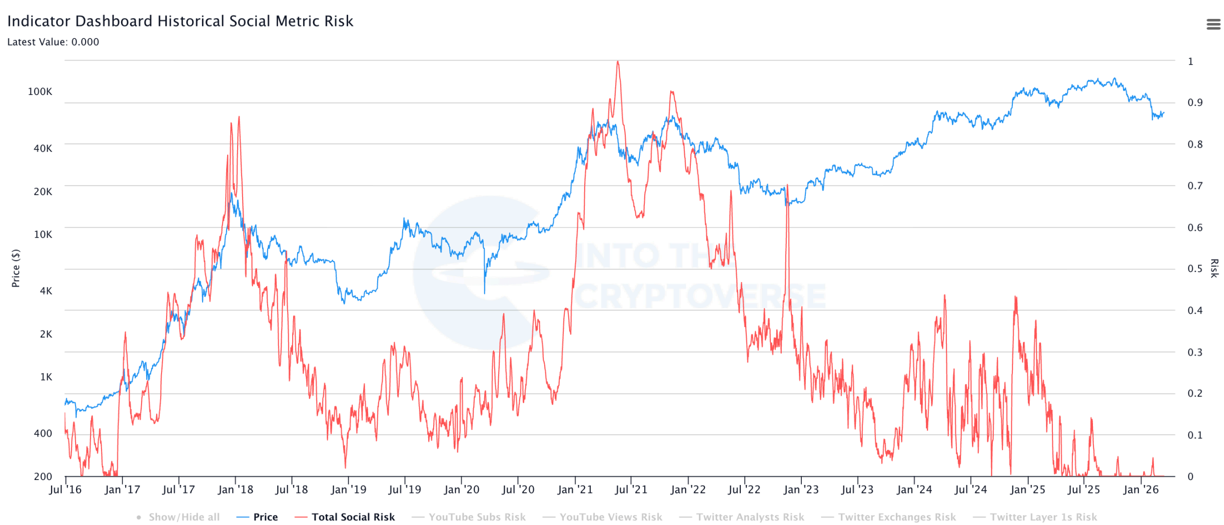

Figure 3: ITC Social Risk Metric

Bitcoin dominance measures Bitcoin's share of the digital asset market. The persistent rise in dominance suggests that speculative capital has steadily exited altcoins and consolidated into Bitcoin. As Bitcoin's bull market cooled, the structural weakness in altcoin markets became increasingly apparent.

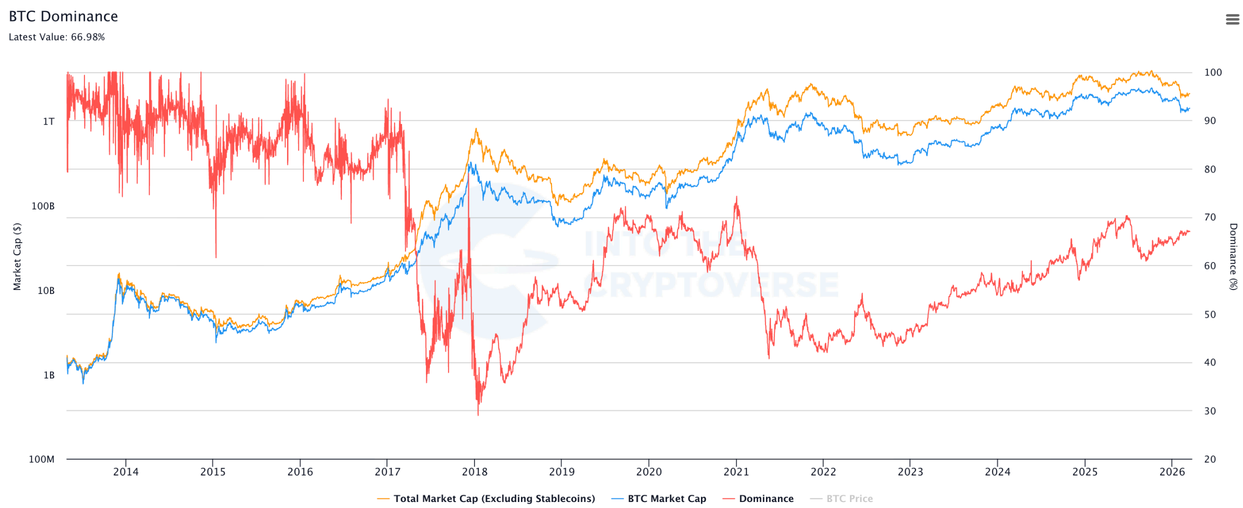

Figure 4: Bitcoin Dominance (excluding stablecoins)

Speculative assets often act as early indicators of tightening financial conditions. Because crypto markets are highly sensitive to liquidity and retail participation, they often weaken before stress becomes visible in traditional financial markets.

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3. Risk Begins Moving Into Traditional Markets

As speculative excess leaves the most risk-sensitive segments of markets, the next stage of the cascade often appears in traditional financial assets.

Figure 5: S&P 500 Relative to Gold

One way to observe this transition is through the relative performance of equities compared with defensive assets such as gold. The ratio of the S&P 500 to gold provides a measure of risk appetite within financial markets. When the ratio rises, equities outperform defensive assets. When the ratio declines, investors are increasingly favoring defensive assets over equities.

The breakdown in this ratio suggests that traditional risk assets have begun to deteriorate relative to defensive assets following earlier weakness in speculative markets. Since this breakdown, equities have struggled to regain relative strength against gold.

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4. Dollar Strength and Liquidity Tightening

Global liquidity conditions are heavily influenced by movements in the U.S. dollar.

A stronger dollar tends to tighten global financial conditions because a large share of global trade and financial obligations are denominated in dollars.

Figure 6: U.S. Dollar Index (DXY)

The U.S. Dollar Index measures the value of the dollar relative to a basket of major currencies. Sustained dollar strength can tighten financial conditions by increasing the cost of dollar funding globally and reducing global liquidity available for risk assets.

The recent move in the dollar index above 100 suggests that dollar strength may continue acting as a tightening force on financial conditions, similar to early 2018.

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5. Oil Shocks and Late-Cycle Fragility

Another factor that can accelerate late-cycle fragility is a sudden increase in energy prices.

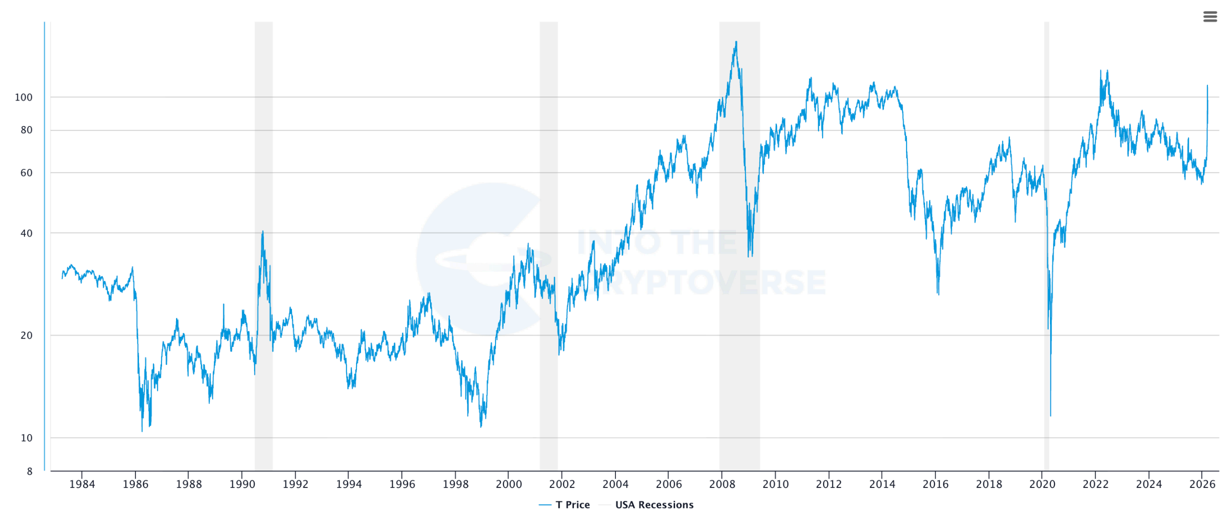

Figure 7: Oil price with recessions overlaid.

Early in economic expansions, rising oil prices can reflect strengthening demand. In those cases, higher energy prices may coincide with stronger economic activity. Late in the business cycle, however, oil price increases tend to have a different effect.

When energy prices rise due to supply disruptions rather than demand strength, they can act as an additional tax on economic activity by raising production costs and reducing consumer purchasing power.

Recent geopolitical tensions in the Middle East have contributed to a sharp increase in oil prices. Supply-driven increases in energy prices during late-cycle environments have historically coincided with periods where economic expansions begin to lose momentum.

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6. The Final Stage of the Cascade: Labor Market Feedback

The final stage of the risk cascade typically occurs when financial market deterioration begins to feed into the real economy through the labor market. Up to this point, the developments discussed in this report have primarily occurred within financial markets. The final stage of the cycle emerges when those financial stresses begin to influence employment conditions and economic activity.

One of the earliest indicators that layoffs may be beginning to accelerate is the behavior of initial jobless claims.

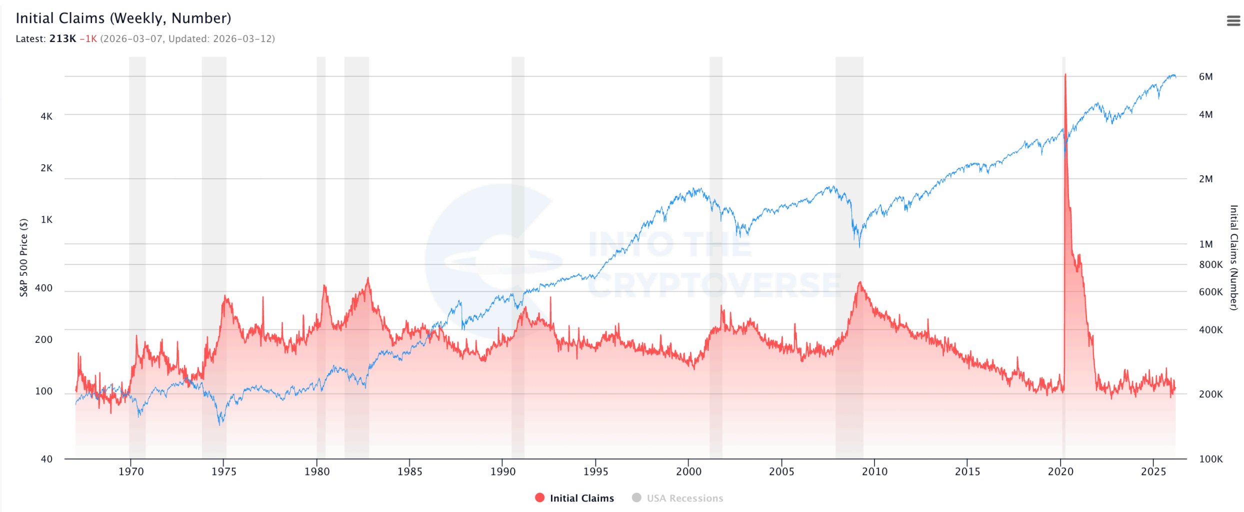

Figure 8: Initial Jobless Claims

Initial jobless claims are one of the earliest indicators of labor market deterioration. In many economic cycles, claims begin trending higher before unemployment rises materially. At present, initial claims remain relatively low by historical standards, suggesting layoffs have not yet begun to accelerate. Another way to observe this dynamic is through the unemployment rate itself.

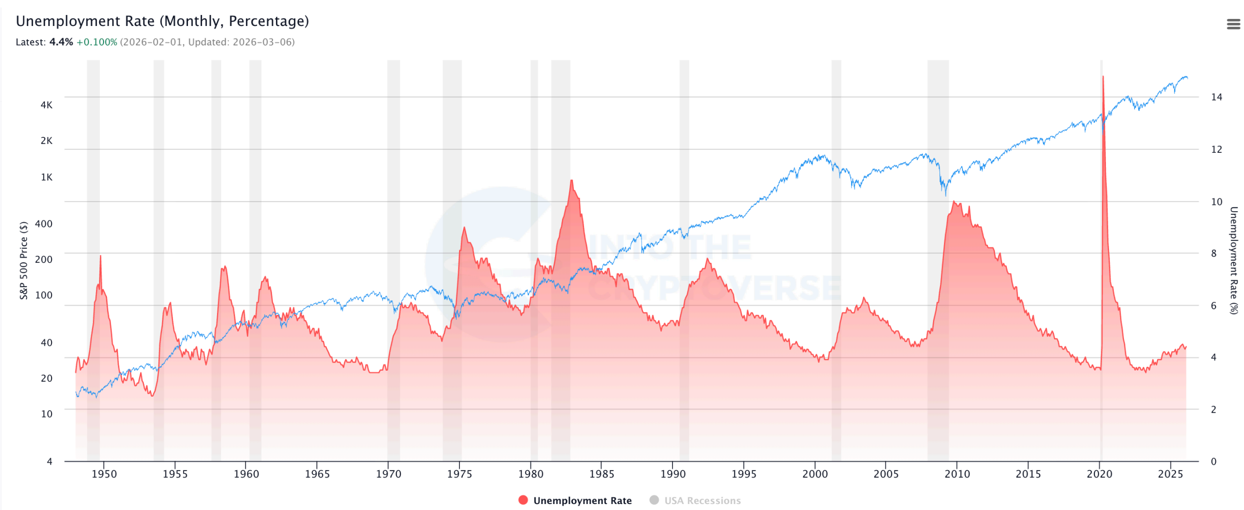

Figure 9: U.S. Unemployment Rate

The unemployment rate often exhibits nonlinear behavior once layoffs begin to accelerate. Labor markets can remain stable for extended periods before deteriorating rapidly. While the unemployment rate has moved modestly higher, it has not yet entered the nonlinear trajectory that has historically accompanied recessionary environments.

The same conclusion can also be observed through the ITC Recession Risk Model.

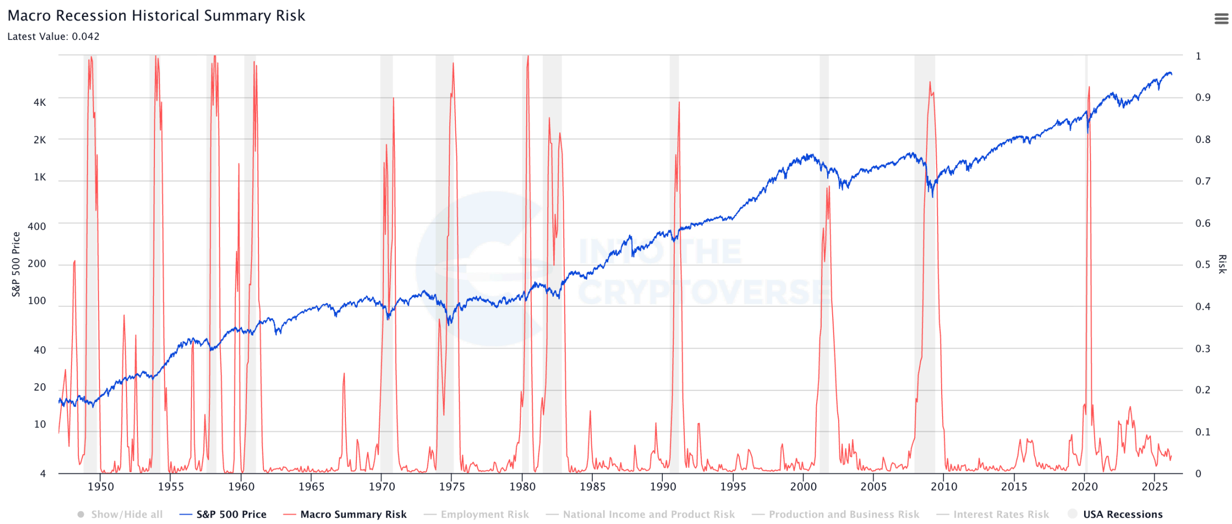

Figure 10: ITC Macro Recession Risk Model

The ITC recession risk model aggregates several macroeconomic indicators associated with recessionary conditions. Historically, sharp spikes in this model have aligned with periods where negative feedback loops between financial markets and the real economy were already underway. The current reading remains relatively subdued.

Taken together, these indicators suggest the negative feedback loop between financial markets and the real economy has not yet clearly emerged.

Conclusion: Risk Cascades Gradually Through Markets

The current macro environment appears consistent with a late-stage business cycle where liquidity conditions are tightening and financial fragility is gradually increasing. Speculative excess appears to have begun leaving the system several years ago within crypto markets. Measures of retail participation have declined and altcoins have weakened relative to Bitcoin.

More recently, signs of deterioration have begun to appear in traditional financial markets. The breakdown in the S&P 500 relative to gold suggests that investors have increasingly shifted toward defensive assets. Additional macro pressures, including dollar strength and rising oil prices, may further tighten financial conditions. However, the final stage of the cycle has not yet clearly emerged.

Historically, the most destabilizing phase of the business cycle begins when financial market deterioration feeds back into the labor market. At present, initial jobless claims remain low and the unemployment rate has not yet entered the nonlinear trajectory typically associated with recessionary environments.

In other words, speculative excess appears to be leaving the system, but the self-reinforcing economic feedback loop that typically marks the end of the business cycle has not yet begun. If financial market deterioration proves temporary, the cycle could stabilize. If asset prices remain under pressure for an extended period, however, the next stage of the cascade may eventually begin to influence employment conditions and broader economic activity.